

Incident 1: Pricing / Interest Rate Disclosure Non-Compliance (Fair Practices & Conduct)

1. **Incident Description:** Interest rate and/or risk gradation basis was not transparently disclosed to the borrower in the application/sanction journey, and the rate disclosure on the NBFC's website was outdated compared to the latest product pricing.
2. **Regulatory Mapping:** Fair Practices Code expectations include board-adopted interest rate model, disclosure of risk gradation approach and rationale, communication in sanction letter, website publication, and timely updates when rates change.
3. **Category:** Conduct Risk / Customer Protection / Disclosure Compliance.
4. **Detection Source:** Customer complaint, audit sampling of loan files, or website vs loan booking rate mismatch found during compliance review.
5. **What Exactly Went Wrong (Failure Modes):**
 1. Sanction letter carried a rate that did not match the booked APR.
 2. Risk-based pricing logic existed but was not explained/recorded per borrower category.
 3. Website showed old rates or missing "approach for gradation of risk" disclosure.
 4. Annualized rate presentation was inconsistent across channels.
6. **Impact Scope:** Overcharging risk, disputes, refund/remediation requirement, increased grievance volume, and adverse audit/regulatory observations.
7. **Possible Damage:**
 1. Financial remediation (refunds/charge reversals) and legal exposure.
 2. Reputational impact (trust loss, social escalation).
 3. Supervisory concern on conduct governance and customer fairness.
8. **Immediate Containment (Day 0-2):**
 1. Freeze rate changes until disclosure alignment is confirmed.
 2. Stop disbursements for affected product variants (only if mismatch is confirmed).
 3. Take versioned snapshots of website disclosures and rate circulars (evidence preservation).
9. **Root Cause (Typical):**
 1. Pricing engine not integrated with document generation.
 2. Maker-checker not enforced for product rate updates.
 3. Weak website change governance and publishing SLAs.
10. **Corrective Actions (CAPA):**
 11. Reconcile all affected accounts (sanction rate vs booked rate vs repayment schedule).
 12. Customer communication + corrective credit/refund workflow with approvals.

13. Update website disclosures immediately and archive the updated version.
 14. **Preventive Actions (Control Enhancements):**
 15. Implement a **Rate Consistency Gate**: disbursal blocked if document APR $\neq$ booking APR.
 16. Maintain a “single source of truth” pricing table used by UI + documents + core booking.
 17. Monthly compliance attestation: website rates match approved pricing circulars.
 18. **Evidence Pack (Audit-Ready):**
 19. Rate circular approvals, sanction letters, loan agreements, repayment schedule proof.
 20. Website disclosure snapshots and publishing change logs.
 21. Sample testing report and closure sign-off.
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Incident 2: Change in Control / Shareholding / Management Executed Without Prior RBI Written Permission

1. **Incident Description:** The NBFC executed a transaction or board change that required **prior written permission of RBI** (takeover/acquisition of control, shareholding crossing the specified threshold, or management change beyond the specified director-change threshold) but approval was not obtained before execution.
2. **Regulatory Mapping:** Prior written permission requirements cover:
 1. takeover/acquisition of control,
 2. change in shareholding resulting in acquisition/transfer of **26% or more** (with specified exceptions and reporting),
 3. change in management resulting in change of **more than 30% of directors (excluding independent directors)**, plus ongoing RBI intimation expectations.
3. **Category:** Governance / Regulatory Approval Compliance.
4. **Detection Source:** Secretarial audit, internal governance review, regulator query, or transaction due diligence discovery.
5. **What Exactly Went Wrong (Failure Modes):**
 1. Corporate action executed assuming “post-facto intimation” was sufficient.
 2. Threshold checks were not automated (26% shareholding, 30% directors).
 3. Lack of compliance “approval gate” in board/secretarial workflow.
6. **Impact Scope:** Regulatory action risk, governance credibility loss, possible restrictions, and supervisory escalation.
7. **Possible Damage:**
 1. Monetary penalty and enhanced supervisory monitoring.

2. Board accountability exposure and reputational impact with lenders/investors.
3. Delays to strategic plans due to compliance rework.

8. Immediate Containment (Day 0–7):

1. Escalate to Board/Compliance Head immediately.
2. Prepare a complete transaction dossier (timeline, approvals, rationale, parties).
3. Initiate regulator communication pathway through the relevant RBI regional office workflow as applicable.

9. Root Cause (Typical):

1. Weak regulatory mapping in secretarial processes.
2. No threshold-triggered alerts.
3. Inadequate legal/compliance review before execution.

10. Corrective Actions (CAPA):

11. Submit approval application package with required documents and disclosures.
12. Board ratification and corrective governance minutes.
13. Remediate missing public notice requirements if applicable to the transaction context.

14. Preventive Actions (Control Enhancements):

15. Implement **Regulatory Approval Gate** in board/secretarial workflow (cannot proceed without compliance sign-off).
16. Maintain a live “Control/Shareholding/Board Change Register” with automated threshold alerts.
17. Quarterly governance compliance testing: sample board changes + ownership changes vs RBI thresholds.

18. Evidence Pack (Audit-Ready):

19. Shareholding cap table, transfer documents, board minutes, director appointment/resignation documents.
20. RBI application, acknowledgements, approval letters, and internal threshold check logs.

Incident 3: Liquidity Stress Event due to ALM Mismatch and Weak Liquidity Risk Governance

1. **Incident Description:** The NBFC experienced liquidity stress (cashflow gap / inability to meet obligations when due without adverse impact) due to ALM mismatch, concentrated funding dependence, and insufficient stress testing or contingency planning execution.

2. **Regulatory Mapping:** Directions emphasize liquidity risk governance, board responsibility, ALCO oversight, risk tolerance/limits, stress testing, and contingency funding planning elements within the liquidity risk management framework.
3. **Category:** Prudential / Treasury / Liquidity Risk.
4. **Detection Source:** Treasury monitoring breach, early warning indicators, missed repayment/rollover signals, or ALCO escalation.
5. **What Exactly Went Wrong (Failure Modes):**
 1. Maturity mismatch (short liabilities vs long assets) increased beyond tolerance.
 2. Funding concentration (few lenders/instruments) caused rollover risk.
 3. Stress testing not operationalized or scenarios not realistic.
 4. Contingency funding plan existed on paper but not executable.
6. **Impact Scope:** Payment delays, forced asset sales, higher funding cost, rating pressure, operational disruption.
7. **Immediate Containment (Day 0–3):**
 1. Activate contingency funding plan and collateral readiness actions.
 2. ALCO emergency meeting chaired by CEO/MD/ED per governance expectation.
 3. Freeze discretionary disbursements and rebalance near-term maturities.
8. **Root Cause (Typical):**
 1. Weak risk tolerance definition and limit monitoring.
 2. Incomplete cashflow projection (off-balance sheet & contingent items missed).
 3. Lack of ALM support group reporting discipline.
9. **Corrective Actions (CAPA):**
 1. Rebuild maturity ladder and funding strategy, reduce short-term reliance.
 2. Update stress scenarios and validate assumptions.
 3. Introduce daily liquidity dashboard during stress period.
10. **Preventive Actions (Control Enhancements):**
11. Board-approved liquidity risk management framework with measurable tolerance and limits.
12. Formal ALCO cadence, documented decisions on maturity profile and funding mix.
13. Regular stress testing + dry-run of contingency plan.
14. **Evidence Pack (Audit-Ready):**
15. Liquidity dashboards, ALCO minutes, stress test outputs, limit breach logs.
16. Funding concentration analysis and corrective action tracker.

17. Closure Criteria:

- 18. Limits are back within tolerance for sustained period.
- 19. Contingency plan updated and tested.
- 20. Board/ALCO sign-off on remediation.